CASCADIA ANALYTICS

Outdoor Holding Co.

Equity Research Note | POWW | October 29, 2026

GunBroker Cash Generation Decouples from Underlying Firearm Volatility

Analyst: Justin Wen | October 29, 2026

Outdoor Holding Company has executed a decisive structural pivot, transitioning away from capital-intensive manufacturing to operate purely as the leading online marketplace for shooting sports. Operational restructuring has eliminated recurring overhead, driving adjusted EBITDA margins above 50% across recent quarters while GunBroker consistently gains market share against broader National Instant Criminal Background Check System volumes. The market continues to price POWW through the lens of legacy legal overhangs and cyclical industry softness, creating a valuation disconnect against an asset-light entity holding $56.9M in net cash. We initiate coverage with a Buy rating and a probability-weighted blended target price of $3.52, representing +47.9% upside from the reference spot price of $2.38.

BUY	$3.52	+47.9%	$2.38
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While the market remains fixated on legacy corporate legal settlements and quarter-to-quarter adjusted NICS fluctuations, the underlying marketplace platform is demonstrating persistent market share consolidation and substantial structural margin expansion. GunBroker has converted into an asset-light cash engine where top-line volume flow translates directly into high-margin platform earnings, backed by a fortified balance sheet holding zero net leverage.

Executive summary

Outdoor Holding Company, formerly known as AMMO, Inc., functions today as the owner and operator of GunBroker.com, the largest online marketplace dedicated to firearms, ammunition, and shooting sports accessories. The core platform provides the digital exchange infrastructure connecting licensed commercial sellers, individual enthusiasts, and local Federal Firearms Licensees across the country. By divesting capital-intensive ammunition manufacturing operations, the enterprise eliminated heavy physical equipment capital expenditures and raw materials inventory risk, establishing an asset-light, two-sided network powered by software and digital marketplace transaction fees.

The company's recent operational performance presents unambiguous evidence of this completed operational turnaround. Across four consecutive quarters of accelerating revenue growth, adjusted EBITDA expanded dramatically, reaching $7.9M in Q1 FY2027 at a 54.6% adjusted EBITDA margin following a 45% year-over-year reduction in operating expenses to $8.9M. In Q4 FY2026, adjusted EBITDA reached $7.7M at a 55% margin, which outperformed management's annualized $25M run-rate target by delivering an annualized rate of $30.8M. GunBroker platform unit sales have continually decoupled from underlying industry trends, rising 11.6% in Q1 FY2027 against 5.3% adjusted NICS check growth, gaining approximately 41 basis points of market share, which followed an 8.7% unit sales expansion in Q4 FY2026 against 1.6% NICS growth.

Capital allocation and balance sheet quality have improved in tandem with operating leverage. The business concluded FY2026 with $68.1M in cash against $11.2M in total debt, creating a net cash buffer of $56.9M. Quarterly operating cash flow reached $4.4M in Q1 FY2027, swinging $11.1M year-over-year, following operating cash generation exceeding $4M in both Q3 and Q4 FY2026. While legacy legal obligations, including a $4.4M DCP settlement paid in Q4 FY2026 alongside residual Delaware litigation and SEC settlement legal expenses, created temporary cash flow friction, the core operating engine has achieved self-funding status with zero operational dependency on external debt markets.

Operational snapshot

$2.38	$51.1M	$-1.9M	-3.8%	$56.9M	$2.38
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	NET CASH	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Structural and Defensible

GunBroker possesses an entrenched competitive moat derived from proprietary network effects and comprehensive regulatory compliance infrastructure. Operating as the premier two-sided

digital exchange for shooting sports, the platform aggregates hundreds of thousands of active listings, creating significant liquidity that cannot be replicated easily by conventional e-commerce operators. Federal and state compliance protocols governing firearm transactions require rigorous integration with local Federal Firearms Licensees, creating high technological and logistical barriers that insulate the platform from generalized online retail competition.

Switching costs for active commercial merchants and collectors remain elevated due to the platform's concentrated buyer audience and established feedback architecture. While recent quarters exhibited take rate compression down to 6.08% in Q1 FY2027 as large sellers secured volume discounts, the marketplace successfully introduced new FFL fees that added 39 basis points of monetization. This monetization breadth proves that platform utility allows management to capture software-like take rates while preserving seller loyalty across commercial channels.

Pricing power is reinforced by platform gross margins, which held at 87.2% in FY2026 and sustained around 87% through subsequent operating periods. Because GunBroker operates primarily as a transaction facilitator rather than a balance-sheet merchant, it incurs minimal direct cost of goods sold. Although the introduction of new FFL service revenue structures introduces modest gross margin dilution, the absolute cash contribution remains highly accretive, defending the company's operating position across macroeconomic downshifts.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates Outdoor Holding Company across a five-year projection window covering FY2026 through FY2030, anchored by an 8.50% WACC and a 3.0% base-case terminal growth rate. Diluted shares in the model are established at 124.0 million. Valuation outcomes reflect the fundamental trajectory of GunBroker as it consolidates marketplace volume, optimizes seller fee schedules, and normalizes cash flow following the cessation of historical restructuring and litigation drains.

The fundamental scenarios incorporate precise operational milestones. The base case projects a 12.0% revenue CAGR from the FY2026 revenue baseline of $51.1M, expanding toward a 25.0% target free cash flow margin by FY2030. The bull case accelerates top-line expansion to a 20.0% CAGR with a 30.0% normalized target FCF margin, capturing broader digital conversion and increased ancillary software adoption. The conservative bear scenario assumes a 5.0% revenue CAGR and a 20.0% target FCF margin, accounting for potential take rate dilution, broader macroeconomic softness, and regulatory headwinds.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	20.0%	$2.20	-7.6%
Base	50%	12.0%	25.0%	$3.34	+40.3%
Bull	25%	20.0%	30.0%	$5.20	+118.5%

Bear $2.20

Reflects top-line revenue growth constrained to a 5.0% CAGR through FY2030, with normalized target free cash flow margins capped at 20.0%. This scenario captures persistent legacy legal indemnification drains, sustained core take rate erosion from merchant volume discounting, and cyclical softness across underlying firearms demand.

Base $3.34

Models a 12.0% revenue CAGR and a target free cash flow margin expansion to 25.0% by FY2030, discounting at an 8.50% WACC with a 3.0% terminal growth rate. Marketplace unit volumes continue to outstrip broader NICS benchmarks while restructured operating expenses sustain adjusted EBITDA margins around 50%.

Bull $5.20

Assumes an accelerated 20.0% revenue CAGR accompanied by a 30.0% target free cash flow margin. Ancillary FFL tools and on-platform checkout adoption expand overall take rates, while market share gains accelerate across shooting sports accessories, driving substantial free cash generation across 124.0 million diluted shares.

Valuation framework

A live discount rate, not a static hurdle

The enterprise discount rate is calculated at an 8.50% WACC, reflecting an asset-light digital marketplace operating in a specialized, highly regulated sector. With total debt at $11.2M and cash reserves standing at $68.1M at the end of FY2026, Outdoor Holding Company operates with negative net debt, or a net cash balance of $56.9M. This balance sheet structure insulates equity holders from debt-service distress, ensuring that the cost of capital is driven predominantly by equity risk parameters rather than credit constraints.

The 8.50% discount rate reflects market-implied uncertainty surrounding regulatory exposure and lingering legacy liabilities, including past legal settlements. As the platform demonstrates continued operating stability, clears legacy litigation overhangs, and sustains positive quarterly operating cash flows like the $4.4M recorded in Q1 FY2027, fundamental equity risk premiums should compress, supporting long-term valuation multiple expansion.

FCF margin normalization is the engine

The bridge from historical financial performance to long-term free cash flow generation relies on the elimination of manufacturing overhead and past corporate expenditures. In FY2026, the company reported an operating loss of $-6.3M, net income of $-3.5M, and free cash flow of $-1.9M on $51.1M of revenue, reflecting residual restructuring items and legal burdens. However, operating expenses fell by $6.71M year-over-year in Q2 FY2026, by $5.4M recurring in Q4 FY2026, and by 45% year-over-year down to $8.9M in Q1 FY2027.

This structural cost reduction enabled adjusted EBITDA margins to exceed 54% in both Q4 FY2026 and Q1 FY2027. Free cash flow generation normalizes from an FY2026 FCF margin of -3.8% toward our forecast target margins of 20.0% in the bear scenario, 25.0% in the base case, and 30.0% under the bull scenario. Minimal ongoing capital expenditure requirements inherent in software marketplace

maintenance ensure that adjusted EBITDA converts efficiently into unencumbered free cash flow.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.50% (2026-10-29)**
Terminal growth	**3.0%**
Diluted shares	**124.0 million**

BUY

over $3.52 blended target

Competitive moat and concentration risk

We rate the moat as None and we view the market structure as Fragmented, commodity-exposed. We assign a discount of 10% to sector median multiples on moat strength alone.

- There is no demonstrated ammunition pricing power in the sourced figures, the ammunition segment lost money at the gross line in Q1 FY2025 (−4.0%) while the marketplace earned 85.6%. That inversion is the pricing-power evidence: where POWW has a network (GunBroker), it prices; where it makes a commodity (ammunition), it does not.
- The weakest element is the ammunition operation itself, negative gross margin in that quarter and, on FY2026 summaries, weak profitability (net margin −6.9%, FCF margin −2.7% per Upturn FY2026 vs FY2025 summary; single-source, flagged). Brand alone (STREAK™, / stelTH/™ specialty rounds) does not premium a commodity manufacturer, per the task guardrail.

On a multiple cross-check, the justified range is EV/EBITDA 9.5×; P/E 18.0×. The cross-check value is EV-implied $2.33; P/E-implied not meaningful (EPS ≈ $0) vs Base $3.55, spot $2.45, on a base of Framework base from the October 27 moat report. The gap verdict is Not at all, discount, not premium; DCF Base already sits above spot.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score

customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	8 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	4 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 23 percent. Shown side by side with the moat premium or discount, the net stance is -30 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. In part, arithmetic width 63% of gap; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Marketplace Volume Share and Ancillary Platform Monetization BUY

GunBroker represents the operational core of Outdoor Holding Company, delivering high-margin transaction facilitation across firearms, ammunition, and accessories. Marketplace gross merchandise value demonstrated consistent sequential momentum through FY2026 and early FY2027, growing 6.4% year-over-year to $215.8M in Q3 FY2026, expanding 11.8% in Q4 FY2026, and increasing 18.1% in Q1 FY2027. While Q1 FY2027 GMV was partially bolstered by consumer purchases pulled forward ahead of July 1 Virginia legislation, underlying unit sales have persistently outpaced national background check volumes.

Market share expansion relative to adjusted NICS data demonstrates platform adoption among commercial dealers and retail consumers. In Q3 FY2026, GunBroker firearm unit sales grew 8% while adjusted NICS checks contracted 4%. In Q4 FY2026, unit sales advanced 8.7% compared to 1.6% NICS growth, yielding an estimated 40 basis points of market share gain. This outperformance continued in Q1 FY2027, where unit volume rose 11.6% against a 5.3% NICS expansion, securing an additional 41 basis points of industry volume share.

Monetization trends reflect a balance between merchant incentives and new revenue streams. The legacy marketplace take rate declined by 18 basis points to 6.08% in Q1 FY2027, following a decline to 6.06% in Q4 FY2026 from 6.15%, caused by mix shift toward firearms and volume discounting applied to large sellers. However, management offset core fee compression through the deployment of new FFL fees, which contributed 39 basis points of incremental take rate in Q1 FY2027. Expanding dealer services provides a direct pathway to scale monetization without impairing platform liquidity.

Operating leverage remains the definitive catalyst underpinning equity value. Restructuring initiatives reduced operating expenses by $6.71M year-over-year in Q2 FY2026, which yielded the first quarterly profit since the pivot at $1.40M from continuing operations. In Q4 FY2026, adjusted EBITDA reached $7.7M, beating the $25M annualized run-rate target ahead of schedule with an annualized output of $30.8M. Adjusted EBITDA reached $7.9M in Q1 FY2027, demonstrating that the cost base remains disciplined even as transaction volumes expand.

What to monitor

- **Core take rate trajectory** across large dealer cohorts as volume discount tiers intersect with new FFL fee additions.
- **GunBroker unit volume divergence** relative to monthly adjusted NICS checks to verify sustained market share consolidation.
- **Resolution of legacy legal costs** including remaining Delaware litigation expenses, SEC settlement fees, and unquantified officer indemnification liabilities.
- **Digital payment settlement conversion** away from the 30% of marketplace transactions that still settle off-platform via money order or check.

+3.5%	87.2%	-12.3%	-3.8%	$56.9M	-1.5%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$51.1M
Gross Profit	$44.6M
EBIT	$-6.3M
Net Income	$-3.5M
EBITDA	$11.3M
Free Cash Flow	$-1.9M
Diluted EPS	$-0.05
ROE	-1.5%

Risk & moat matrix

The bear case

SHARE EROSION

GunBroker could lose marketplace market share if independent regional firearm exchanges duplicate its dealer integration toolsets. Furthermore, top-line growth could compress if commercial sellers direct higher transaction volume toward

M&A DIGESTION

Residual operational integration expenses from the historical AMMO merger and marketplace acquisition continue to produce legacy legal friction. Legal liabilities such as the $4.4M DCP settlement paid in Q4 FY2026 demonstrate the potential for unpredictable

REGULATORY AND PRICING SCRUTINY

State and federal statutory changes can abruptly alter commercial firearm purchasing patterns, as evidenced by the Virginia legislative pull-forward in Q1 FY2027. Sudden compliance mandates could also restrict online marketplace marketing or elevate platform

TECHNOLOGY DISRUPTION

Off-platform settlement friction persists, with 30% of transactions settling via physical money orders or checks rather than integrated digital checkout rails. Inability to modernize dealer transaction settlement could allow more integrated fintech checkout platforms to

REINVESTMENT TREADMILL

New dealer software products and FFL portal infrastructure require recurring development capital to support integration across retail storefronts. Platform gross margins of 87.2% face moderate structural dilution as lower-margin dealer service lines scale.

WACC AND DURATION SENSITIVITY

Shifts in market risk perception surrounding the shooting sports ecosystem can elevate equity discount hurdles beyond our 8.50% WACC baseline. Lingering officer indemnification costs and Delaware litigation expenses could exacerbate multiple

alternative local wholesale channels.	cash flow drains.	regulatory overhead.	disintermediate platform fees.		compression in risk-off market environments.

The strengths

OLIGOPOLY POSITION

GunBroker is the dominant national digital exchange dedicated to firearms, ammunition, and accessories, supported by vast network scale. Regulatory complexities governing FFL shipping networks create high barriers to entry that protect this two-sided liquidity pool.

FCF COMPOUNDING

Operating cash flow reached $4.4M in Q1 FY2027 and exceeded $4M in both Q3 and Q4 FY2026, powered by an asset-light framework. Adjusted EBITDA margins above 54% convert efficiently to cash following the elimination of manufacturing capital expenditures.

GEOGRAPHIC DURABILITY

The marketplace aggregates thousands of federally licensed firearm dealers across all participating jurisdictions, diversifying revenue across broad consumer territories. Platform transaction volumes consistently outpace regional NICS volatility, demonstrating counter-cyclical resilience.

PIPELINE OPTIONALITY

The expansion of ancillary FFL dealer monetization added 39 basis points to platform take rates in Q1 FY2027. Digitizing the 30% of transactions currently conducted via offline payment methods provides substantial untapped monetization optionality.

The bottom line on risk and reward

Outdoor Holding Company presents an asymmetric risk-reward profile underpinned by a structural operational turnaround. By eliminating capital-intensive manufacturing operations, management reduced recurring operating overhead, transforming GunBroker into a high-margin enterprise. With an adjusted EBITDA margin reaching 54.6% in Q1 FY2027, cash reserves standing at $68.1M at the end of FY2026, and total debt limited to $11.2M, the company possesses exceptional balance sheet security.

While legacy legal settlements and core take rate compression from merchant volume discounts warrant close analytical oversight, platform market share gains against broader NICS data prove ongoing competitive strength. Valuation multiples of 5.8x market capitalization to latest fiscal-year revenue and 4.7x EV to revenue fail to reflect an enterprise generating over 50% adjusted EBITDA margins.

Our probability-weighted framework, which combines a bear target of $2.20, a base target of $3.34, and a bull target of $5.20 across a 25/50/25 distribution, yields a blended price target of

$3.52. Against the reference spot price of $2.38, this implies a total expected return of +47.9%, supporting our high-conviction Buy recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

GunBroker.com: The Dominant Digital Shooting Sports Exchange

GunBroker operates as the preeminent commercial destination for online shooting sports commerce, aggregating buyers, licensed retail dealers, and specialized collectors onto a single digital exchange. The platform's proprietary architecture addresses complex federal, state, and local regulatory mandates, enabling seamless compliance verification and transaction routing to local Federal Firearms Licensees for final transfer. This structural integration with the nationwide FFL network forms the cornerstone of GunBroker's durable competitive advantage.

The operational pivot away from manufacturing completed during FY2026 removed heavy machinery capital expenditure requirements, allowing the enterprise to redirect resources toward software capabilities, merchant onboarding, and dealer portal optimization. Platform gross margins of 87.2% in FY2026 and recurring quarterly gross margins around 87% reflect this pure marketplace model. Because the platform acts as an intermediary without carrying inventory ownership risks, it avoids working capital volatility and cyclical markdown pressure.

Top-line growth has decoupled steadily from the broader firearms sales environment. Across multiple operating periods where adjusted NICS checks exhibited flat or contracting trends, GunBroker expanded unit volume by capturing business from conventional brick-and-mortar channels. Management's recent implementation of specialized FFL monetization streams represents an important evolution in the platform's commercial strategy, generating high-margin software and service revenue that cushions the business against large merchant volume discounting.

What the recent record shows

- **Accelerating top-line expansion** culminated in 22.1% year-over-year revenue growth in Q1 FY2027, marking the fourth consecutive quarter of accelerating revenue.
- **Structural operating leverage** generated $7.9M in adjusted EBITDA at a 54.6% margin in Q1 FY2027 following a 45% year-over-year reduction in operating expenses to $8.9M.
- **Persistent market share consolidation** drove GunBroker unit sales up 11.6% in Q1 FY2027 against 5.3% NICS growth, following an 8.7% unit gain against 1.6% NICS growth in Q4 FY2026 and an 8% gain against a 4% NICS decline in Q3 FY2026.
- **Robust balance sheet liquidity** closed FY2026 with $68.1M in cash against $11.2M in total debt, creating a net cash buffer of $56.9M.

Our read: GunBroker has successfully navigated its operational pivot to emerge as an asset-light, cash-generative marketplace leader. With adjusted EBITDA margins exceeding 54% and consistent market share consolidation over broader industry benchmarks, the current reference price of $2.38 offers an attractive entry point toward our $3.52 blended price target.